otherwise may be exported. The common purpose for tariff on import and export is to generate resource for government.

If tariff obstructs free flow of trade, it is called tariff barrier.

Non-Tariff Barriers

The instruments and executive operations that obstruct free flow of trade other than tariff is called non-tariff barriers. "Non-Tariff Barriers (NTBs) are obstacles to imports other than tariffs. They are administrative measures that are imposed by a domestic government to discriminate against foreign goods in favour of domestic goods." M.L Jhingan observes.

The major non-tariff barriers are explained below:

a. Quota

It fixes a limit on the amount of trade that can take place. In this system only a fixed quantity is allowed to be exported to any country and imported from any country.

b. Production Subsidies

Production subsidies are given by government to producers of exportable goods for the production of goods and services. They are in the form of raw materials at low cost, credit at low interest rates, tax concessions, etc.

c. Export Subsidies

Export subsidies are given in the post production stage. They are in the form of transport subsidies and low cost shipment credits.

d. Health, Sanitary & Safety Regulations